EXECUTIVE SUMMARY

A. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo" along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well known tourist destination where every Iguigueños can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for CY 2018 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Iguig for the year ended December 31, 2018, with comparative figures for CY 2017, are as follows:

Accounts	2018	2017	Increase/ (Decrease)
Assets	237,742,524.46	170,086,595.29	67,655,929.17
Liabilities	112,134,825.91	63,640,226.09	48,494,599.82
Government Equity	125,607,698.55	106,446,369.20	19,161,329.35
Income	102,806,153.60	96,247,974.69	6,558,178.91
Expenses	89,203,848.76	77,553,492.79	11,650,355.97
Appropriation	111,275,080.47	104,512,357.00	6,762,723.47
Obligations	95,151,519.98	88,252,014.24	6,899,505.74

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2018, with comparative figures for CY 2017, are shown below:

Fund Transferred to Other Agencies	2018	2017	Increase/ (Decrease)
Local Gov't Units	0.00	100,000.00	(100,000.00)

Fund Transferred from Other Agencies	2018	2017	Increase/ (Decrease)
Nat'l Gov't Offices	33,248,397.13	34,759,089.05	(1,510,691.92)
Local Gov't Units	3,720,000.00	1,000,000.00	2,720,000.00

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Iguig as of December 31, 2018 due to the following:

a. The balance of Cash in Bank, Local Currency Current Account of P59,547,978.55 for all funds could not be relied upon due to the non-preparation of Monthly Bank Reconciliation Statements by the Municipal Accountant, which is not in accord with Items 3.1 to 3.3 of COA Circular No. 96-011 dated October 2, 1996.

b. The Property, Plant and Equipment totaling P144,427,544.81 (net of Road Networks) could not be relied upon due to the failure of the Municipality to conduct physical inventory on all its properties and the non-submission of Report on the Physical Count of Property, Plant and Equipment (RPCPPE) thereon pursuant to Section 156 of COA Circular 92-386 dated October 20, 1992.

c. The Road Network account appearing in the financial statements amounting to P21,517,949.67 cannot be relied upon due to unavailability of Local Road Network Ledger Card and Local Road Network Property Card, which is not in accord with Item VII of COA Circular 2015-008.

D. Summary of Significant Observations and Recommendations

The following are the audit team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 3, 2019:

1. Procurement of Medicines, Infrastructure Projects and Various Equipment were not included in the Annual Procurement Plan, which is not in accord with Sections 7.1 and 7.2 of the 2016 Revised Implementing Rules and Regulation of Republic Act 9184; while all other procurements in the Annual Procurement Plan did not indicate the mode of their procurement, which is not in accord with Item

IV.A of Annex H of the same IRR, thus the optimum benefits of planning were not attained by the LGU.

We recommended that the LGU ensure that all procurements are included in the Annual Procurement Plan to achieve an economical and efficient procurement program/activity.

2. The LGU did not submit the monthly Report on Sources and Utilization of Disaster Risk Reduction Management Fund (DRRMF) provided under Paragraph 5.1.5 of COA Circular No. 2012-002 dated September 12, 2012, thus, causing the delay in the evaluation of the LDRRMF plan, accomplishments and fund utilization.

   We recommended that the Management require the concerned officials to prepare and submit a duly certified Report on Sources and Utilization of LDRRMF on or before the 15th day after the end of each month, in compliance with Item 5.1.5 of COA Circular No. 2012-002 dated September 12, 2012. We also required the immediate submission of the CY 2018 Monthly Report on Sources and Utilization of LDRRMF.

3. Job Order personnel are performing the functions of regular employees in the Local Disaster Risk Reduction Office due to unfilled permanent positions, which is not in accord with Items 5.2 and 5.5 of Joint Memorandum Circular No. 2014-1, thus exposing the LGU to possible investment loss in human resources, thru skills development and knowledge innovation of the Job Order personnel.

   We recommended that the LGU fully comply with the staffing requirement in the Local Disaster Risk Reduction and Management Office and stop employing job order personnel in performing the mandatory functions to avoid possible investment loss in human resources.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2018:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	10,000,000.00	0.00	0.00	10,000,000.00	0%
Current Year	0.00	0.00	0.00	0.00	0%
Total	**10,000,000.00**	**0.00**	**0.00**	**10,000,000.00**	**0%**
Disallowances					
Prior Years	32,125.00	0.00	17,350.00	14,775.00	54.01%

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Current Year	0.00	3,221,750.00	0.00	3,221,750.00	0%
Total	**32,125.00**	**3,221,750.00**	**17,350.00**	**3,236,525.00**	**0.53%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	0%
Current Year	0.00	0.00	0.00	0.00	0%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0%**

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the 11 audit recommendations embodied in the 2017 Annual Audit Report, six (6) were fully implemented and five (5) were partially implemented.